MASTER SUPPLY AGREEMENT - MSA-SUP-105
Between: Contoso Manufacturing Holdings ("Buyer") and STARK INDUSTRIAL ("Supplier"), Supplier ID SUP-105.
Supplier region: AMER. Supplier tier: TIER_1. Effective Date: 1 January 2025. Term: 36 months.

1. Definitions
1.1 "Promised Date" means the delivery date stated on the purchase order.
1.2 "Financial Exposure" means the invoice value (quantity multiplied by unit price) of Late Deliveries plus documented unplanned production downtime cost attributable to Supplier. Planned maintenance downtime is excluded.

2. Scope. Supplier shall supply components to Buyer plants in AMER, EMEA and APAC per issued purchase orders.

3. Pricing. Prices are fixed per the price schedule; changes require 90 days written notice.

4. Quality. Supplier shall maintain ISO 9001 certification and a defect rate below 500 PPM.

5. Delivery and Grace Period
5.1 A delivery is a "Late Delivery" if received more than 2 calendar days after the Promised Date.
5.2 Cancelled or undelivered purchase orders are not Late Deliveries for the purposes of Section 7.

6. Reporting. Supplier shall provide weekly delivery performance reports.

7. Liquidated Damages for Late Delivery
7.1 Buyer may claim liquidated damages equal to 5.0% of Financial Exposure for the contract year.

8. Limitation of Liability
8.1 Aggregate liquidated damages under Section 7 shall not exceed USD 500,000 per contract year.

9. Force Majeure
9.1 Neither party is liable for delay caused by events beyond reasonable control, provided written notice is given within 5 business days.
9.2 Force Majeure must be formally declared and acknowledged by both parties to apply.
9.3 Declared Force Majeure Event. The parties acknowledge a declared Force Majeure Event: closure of the Port of Long Beach from 1 March 2025 to 31 March 2025. Purchase orders with a Promised Date within this period are excluded from Liquidated Damages under Section 7, and unplanned downtime occurring within this period shall not be attributed to Supplier.

10. Termination. Buyer may terminate for convenience with 60 days notice, or immediately if on-time delivery falls below 70% for two consecutive quarters.

11. Governing Law. This Agreement is governed by the laws of the State of Delaware.